Advanced Empirical Finance: Topics and Data Science

Transaction costs and parametric portfolio policies

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Today

- Portfolio choice under transaction costs
- Transaction costs as shrinkage
- Parametric portfolio policies with stock characteristics

Portfolio choice under transaction costs

TBD

Transaction costs as shrinkage

TBD

Parametric portfolio policies with stock characteristics

TBD

Before the next lecture

- **Exercise 3:** Shrinkage and transaction costs
- **Read:** Cochrane (2005), chapters 1 and 5–6